Why Chinese Fentanyl Factories Are Making Peptides Now

Podcast: Wall street journal

AI Executive Summary

1. Core Thesis: The episode argues that Chinese chemical manufacturers, facing domestic crackdowns on fentanyl precursor exports, are strategically pivoting their illicit supply chains toward the high-demand, FDA-unapproved peptide market in the United States and globally. By shifting from producing raw materials for drug cartels to selling finished products directly to end consumers, these companies leverage similar smuggling infrastructure—such as mislabeling shipments—to generate higher profit margins while exploiting the booming "gray market" for wellness and beauty enhancements that outpaces regulatory oversight.

2. Key Arguments & Data:

3. **Opioid Crisis Scale:** Fentanyl is at least 50 times more potent than heroin; synthetic opioid overdose deaths reached nearly 50,000 in 2024 alone according to the Government Accountability Office.
4. **Chinese Manufacturing Capacity:** China holds the world's largest chemical industry with factories capable of producing almost any conceivable drug or ingredient.
5. **Company Case Study:** Anri Ren-Chen (founded 2015, factory northwest of Shanghai) is a primary example. Despite being indicted by the U.S. DOJ in 2023 for shipping fentanyl precursors to New York, the company remains operational with its website still active.
6. **The Pivot Strategy:** At least 50 out of 200+ companies previously selling fentanyl precursors have switched to selling peptides. Selling directly to consumers via peptide products avoids cartel middlemen and faces less scrutiny than precursor production.
7. **Market Growth:** Peptide market growth has surged, with monthly crypto-based purchases rising from approximately 200,000 units (pre-2025) to 10 million units per month (in 2025).
8. **Regulatory Gaps:** While the FDA has approved specific peptide drugs like GLP-1s for weight loss, the vast majority of peptides found in this gray market lack proper approval. High-profile influencers and figures

like Robert F. Kennedy Jr. promote claims of anti-aging and metabolic benefits without supporting scientific validation.

9. **Smuggling Techniques:** Products are shipped using mislabeled boxes (e.g., declared as "snacks"). Between October 2025 and the end of August, U.S. Customs and Border Protection reported over 2,400 seizures of illicit pharmaceuticals, though many still evade detection due to inspection limitations.

10. **Consumer Demand:** The industry operates on a "fast fashion" model where consumers prioritize cheap, convenient, and trendy chemical goods for aesthetic and health benefits regardless of safety or legality.

11. Actionable Takeaways:

12. **Verify FDA Approval Status:** Individuals purchasing peptides should confirm whether the specific product is FDA-approved before use, as the gray market contains thousands of untested substances.
13. **Assess Supply Chain Risks:** Be aware that wellness products currently popular in the U.S. may be sourced from manufacturers with established histories in illicit drug production.
14. **Avoid Unverified Marketing:** Consult healthcare professionals and avoid relying solely on social media influencers or personal testimonials regarding peptide efficacy and safety.
15. **Support Regulatory Enforcement:** Advocate for stricter customs protocols and FDA oversight to prevent unapproved pharmaceutical compounds from entering the domestic market.
16. **Exercise Caution with International Shipping:** Exercise extreme caution when receiving international parcels that claim to be benign items (e.g., snacks) but may contain regulated substances requiring proper labeling.

Full Transcript

If a chemical exists, there's a good chance that a factory in China can make it and sell it for less than almost anyone else. Now there are tons of like super legit Chinese chemical producers. That's our colleague Patricia Kausman. She's based in Singapore. And then there's like a whole layer of underground ones. So when you say underground, what type of products were they selling? These Chinese chemical producers, they are the big providers of fentanyl ingredients, which of course became a big issue in the US. We are in the midst of the worst drug crisis in US history. The drug is fentanyl. Fentanyl is a highly potent opioid. It's at least 50 times more potent than heroin. The synthetic drug fentanyl has been having and is having a devastating effect on our communities all across the United States. Today, Fentanyl continues to be the leading cause of overdose deaths in America. According to the Government Accountability Office, there were almost 50,000 deaths from synthetic opioids in 2024 alone. For almost a decade, the US government has been trying to crack down on Chinese companies that produce the raw ingredients that eventually get turned into fentanyl. They're called fentanyl precursors. These Chinese fentanyl precursor producers, they basically sold these to...

drug cartels who put together these ingredients, which the end result was the fentanyl, and then those were sold in the market. Chinese precursor suppliers have been making tons of money from the illegal drug trade. But with a recent crackdown in China, these manufacturers have started entering into a different market, a market that's exploding across the US. So they kind of pivot to what is the next big thing, and right now the next big thing is peptides. So what went through your mind when you connected these dots? Of course, there's like Chinese producers that have sold fentanyl precursors and not telling these people, by the way, I sold fentanyl precursors and here's a peptide for you. But behind it, you have these companies that have sold fentanyl precursors to drug cartels. And the question that I had was, do people really know

who they're buying from, do they even really know what they are buying? Welcome to the Journal, our show about money, business, and power. I'm

Imani Moise. It's Wednesday, October 7th. Coming up on the show, the Chinese company is pivoting from fentanyl ingredients to peptides. The chemical industry in China is the biggest in the world. There, factories have the capacity to make pretty much any kind of drug imaginable. One particular company that Patricia looked into is called Anri Ren-Chen. Their chemistry company, they sell chemicals that put together will create a drug. And they sell some drugs that could be in final form. Think of them as a lab that will produce whatever is in demand outside. Anri Ren-Chen never responded to Patricia's request for comment. But there's a website that says the company was founded in 2015.

with the factory northwest of Shanghai. Okay, so I think now is a good time to look at the website. The site seems pretty user-friendly and it's in English. Let's talk about the pictures. What do you see in the pictures? Completely random products that look like just pure chemistry like substances that we wouldn't absolutely know what they mean unless you know what you're looking for. There's a little dishes with white powder. There is some yellow powder on a dish, and there's a liquid in one of those kind of lab flasks. And if you scroll down a little bit, what you see is names of the products that they're selling that to us means nothing. It's like very complicated. A lot of them have numbers rather than names. Across the site, there's clickable icons with colored powders and crystals and decorative ceramic dishes.

They have labels like ivermectin, gabapentin and something called metanidazine. It's almost like a little, I don't know, it reminds me when I was like, you know, studying chemistry in high school and looked at these things and chains of amino acids put together and it's just completely foreign to me. However, the people buying these things, they know exactly what they want and they know the names of it. Can anyone just go on this site and buy these things? Yes, you can. If you look, you know, there's a leave your message form where you say, give your name, your email, your phone, a WhatsApp, and basically say what you're looking for. And just hit send. And supposedly someone's going to reach out back to you with the information. The numbers and emails listed on the site are no longer in use. But for every product, Anri Ren-Chen says they guarantee delivery.

If a buyer is worried about customs, the site says, quote, our customs clearance company will clear parcel without any customs issues. This kind of feels like how you end up on a watch list. Like a government watch list. Absolutely. I mean, this company has gotten to government watch list. About five years ago, the U.S. Justice Department started looking into Henri Ren-Chen. In an undercover investigation, a confidential source posed as a buyer seeking fentanyl precursors. What has happened is that this producer said, yes, right, we can actually ship that to you in the U.S. In 2023, the Chinese company shipped fentanyl precursors to an address in New York. Later that year, the DOJ indicted Henri Renschen for allegedly supplying fentanyl ingredients used by drug cartels. What did that indictment mean practically? Clearly, the website is still up, so they didn't go out of business.

Yeah, so it's interesting. What happened is, you know, so the Americans indicted these Chinese companies, as you can imagine, they're in China. They have no obligation whatsoever to answer to any indictment that's taking place in the US. So the end result of the indictment is zero. For years, the United States has put pressure on China to crack down on precursor producers. Chinese authorities have been slowly reacting, imposing export controls. And that development poses a big threat to companies like Honorary and Chen. So you do see a lot of these websites and these companies kind of shutting down or having to find new ways of surviving. One of the ways of surviving is, OK, let's maybe stop selling the fentanyl precursor and shift to something else that is in high demand. So that's when you see a lot of these companies shifting.

to peptides. And the market that's driving that new business in China is Americans. That's next. For years now, the internet has been buzzing about peptides. So on social media, you have a whole number of influencers out there who spend their days, in fact, like trying these peptides, inject themselves, like changing the way they look. The new trend in beauty and wellness is peptides. Most people don't know this is an anti-aging peptide, as well as a recovery peptide. There's peptides that make you tan. It makes your skin produce more melanin, and it helps prevent sunburn, and it literally makes you tanner at the same time. So instead of going to those penning beds and spending a few minutes there or whatever, like, just let's

get a peptide. Or going outside. Or going outside, I mean. But you know, you do have these influencers on social media really pushing this product, saying how amazing they are.

What if I told you there's a peptide stack that can transform your skin, boost your metabolism, and optimize your overall health? Even Health and Human Services Secretary Robert F. Kennedy Jr. says he's a big fan. Yeah, I mean, I'm a big fan of peptides. I've used them myself and used them with really good effect, you know, with a couple of injuries. But what does the scientific community have to say about all this? Are they supporting the claims that these solutions do what they're advertised to do? No. I mean, the scientific community, I think, is pretty careful with this. The FDA has approved a range of peptides, but definitely not the vast majority of it. So the vast majority of peptides out there are still not approved by the FDA and are still not even approved by, you know, scientists who say, okay, this is supposed to do what these people are saying it's doing.

The FDA has approved some peptide-based drugs, like GLP-1s for weight loss. But in order to get experimental peptides, some consumers are turning to a gray market. Before 2025, the sort of peptide market was quite niche and very underground, and there was just like about 200,000 in monthly purchases done in cryptocurrencies. But in 2025, so last year, this market started to grow. And this year suddenly it really skyrocketed. So now peptide purchases in crypto have basically surpassed 10 million a month. And at least some of that 10 million a month is going to Chinese companies currently or formerly in the fentanyl trade. One analytics firm says that out of more than 200 companies that sold fentanyl precursors, at least 50 are now selling peptides.

One thing that these analytic firms found that was quite interesting is that selling peptides is probably more profitable for these Chinese companies than selling fentanyl precursors because the fentanyl precursors, you had to sell that to a drug cartel. According to one analysis, pivoting to peptides has not only been safer for these manufacturers, but also potentially more lucrative. That's partly because with peptides, The product can be sold directly to the end consumer rather than a middleman like a drug cartel. But one thing that hasn't changed is the way these companies conceal their

shipments to U.S. soil. Fetinal precursors often come to the U.S. in mislabeled boxes. The same is now true for peptides. So they fill the form for the exports, court saying this is just a snacks, you know, closing the boxes, sending the boxes. It arrives in the U.S., the U.S. reads snacks.

and then ships to that door of the person who bought the peptide and the person opens it. It's not snacks, but it's peptides. Is that legal? No, that's not legal and it's one of the issues that Americans are having with these companies that, you know, these products should not be entering the U.S. this way. U.S. Customs and Border Protection declined to comment on specific companies. From October of 2025 to the end of August, CBP reported over 2,400 seizures of shipments of illicit pharmaceuticals. but many still get through. It's just a lot of boxes coming through and it's very hard for any authority to be able to open every single one and make sure that what's inside is what's being professed to be inside. And while the Chinese government has clamped down on fentanyl precursors, peptides haven't been given the same oversight. The issue here is not them selling peptides or sending peptides outside China. It's up to the countries receiving these products, whether they find a legit to accept those products, or if those products are in fact substances that could be entered in the country. What surprises me the most is not this company selling these things. What surprises me is that there are people we need to buy. To Patricia, on the consumer side, this is almost a fast fashion approach to chemicals you inject into your body. It doesn't matter what the product is, as long as it's cheap and convenient. Peptides are popular and they're less scrutinized.

So by that logic, what these Chinese manufacturers have done is just a wise business move. They just feel like they are goods company. If the thing that's hot right now is peptides, that's what they're going to go for. Just think of like, I don't know, it's a clothing company. Whatever is hot, we're going to make a new, new of it. If it's a new like, you know, coat that everybody's like loving it. That's what we're going to make. And that's what we're going to sell. They're no different. So what do you think this story says about the business of wellness right now? We are in this phase where because a lot of these peptides have not been approved or even like properly tested, it's just...

out there in this gray market, and there's like a lot of people trying to profit off it. So you have the Chinese chemical manufacturers coming up with this product, selling them anywhere in the world that you want. And what it's done is like this industry has become so out of hand. You have both the supplier side, super happy to give you whatever you want. And you seem to be having the consumer side really desperate and happy to get whatever they can get from whoever they can get to just look better. That's all for today, Wednesday, October 7th. The journal is a co-production of Spotify and The Wall Street Journal. If you like our show, follow us on Spotify or wherever you get your podcasts. We're out every weekday afternoon. Thanks for listening. See you tomorrow.